

Annexure A to Phase 2 Determination

Supplementary empirical analysis and results

IAG – RAC Insurance

A.1. Empirical effects evaluation	1
Summary	1
Overview of empirical methods in differentiated product mergers	1
The price impact of the Distribution Agreement (Step 1 effect)	5
Assumptions for GUPPIs, IPRs, and Merger Simulation	7
Diversion Ratios	7
Outside option	9
Gross margin	11
Prices	16
The Smith Report’s observation on product and customer heterogeneity	16
A.2. GUPPI and IPR analysis	18
Model inputs	18
CEG IPR Results	19
ACCC results	19
Sensitivity analysis – GUPPIs and IPRs	21
A.3. Basic merger simulation results	25
Motor vehicle insurance results	25
Motor: CEG results from Ockerby Second Report	25
Motor: ACCC results	25

Motor: ACCC results sensitivity analysis to market-wide elasticity	26
Home and contents insurance results.....	27
Home: CEG results from Ockerby Second Report	27
Home: ACCC results	27
Home: ACCC results sensitivity analysis to market-wide elasticity	28
A.4. Elasticities literature review.....	29

CONFIDENTIALITY STYLES

IAG confidential information

RACI confidential information

IAG and RACI confidential information

Third party confidential information

A.1. Empirical effects evaluation

Summary

- 1.1. This Annexure contains the results of the ACCC's empirical analysis of the pricing impacts of the Acquisition in both the supply of motor vehicle insurance and the supply of home and contents insurance in Western Australia. As both of these are differentiated product markets, the ACCC considered it useful to prepare estimates of gross upward pricing pressure indexes (**GUPPIs**), indicative price rises (**IPRs**), and carry out a merger simulation.
- 1.2. As noted in Section 10 of the Statement of Reasons, the ACCC considers that the estimated price effects tabled in this Annexure are likely to be amplified by a shift in the governance and objectives used to set the price and quality of RAC-branded products arising from the Acquisition, away from one incorporating not-for-profit elements to one focused more on profitability. This amplification arises because all the modelling of quantitative effects – both by Mr Ockerby on behalf of IAG and by the ACCC – is based on firms maximising their profits both before and after the Acquisition. Given that the Acquisition brings about a change in the factors influencing the setting of price and quality of RAC-branded products, the ACCC considers that its price effect estimates will tend to understate the magnitudes of the likely price effects of the Acquisition.
- 1.3. The Parties submitted estimates of GUPPIs and IPRs and carried out merger simulation in both the First and Second Ockerby Reports. These can be viewed at Section A.2 (GUPPIs and IPRs) and Section A.3 (merger simulation) below, alongside ACCC estimates.
- 1.4. There is significant uncertainty about the reliability of the pricing pressure measures submitted by the Parties. This is partly due to some unconventional approaches with regard to altering the diversion ratio from RACI to IAG and the construction of RACI's and IAG's gross margins, both of which drive low incentive-based price effects.
- 1.5. In addition, the expert economist engaged by the ACCC, Mr Patrick Smith, expressed doubts about the general validity of simple competitive price effects models to capture important aspects of the motor vehicle and home and contents insurance markets. A key reason for this assessment is the high levels of product and customer heterogeneity not captured in a simple economic framework of each firm having one product and one price, which the GUPPI, IPR, and simple merger simulation models squarely fit.

Overview of empirical methods in differentiated product mergers

GUPPIs and IPRs

- 1.6. Both GUPPI and IPRs provide simple measures of the strength of merging parties' incentives to raise their products' prices post-transaction.
- 1.7. The GUPPI measure for a merging firm's product(s) is not a straightforward price prediction but a measure of the firm's incentive to raise the price of its product

holding all other firms' prices constant. It is derived by calculating the gross profit margin that would be recaptured from sales diverted to the other merging firm's product, indexed by the pre-merger price of the first firm's product. GUPPIs do not make an assumption about the form of demand, which can help avoid false precision when the form of the demand system is unknown. Using a GUPPI as a price effect may overestimate or underestimate actual price changes for different reasons. If there is more convexity in demand, the GUPPI will tend to underestimate the price effect. If there is low convexity (for instance linear demand), the GUPPI may overestimate the price effect if feedback effects are low but still may not underestimate the price effect if feedback effects are large (high diversion ratio). In practice, GUPPIs have been found to be a useful price effect measure.¹ Relatedly, Moresi (2010) showed how the GUPPI can be converted into a predicted price change under an assumption of linear demand. This predicted price change for a firm's product is simply the relevant GUPPI divided by 2.² The limitation of this prediction is that the assumed passthrough is one-half, and all other prices, including those of the merged entity's other product(s), are assumed to remain fixed.

- 1.8. IPR measures for a pair of merging firms' products go one step further than the GUPPI in estimating price changes. Like GUPPIs, IPR measures are derived from each firm's gross profit margins and the extent to which each merging firm's sales would divert to the other merging firm in the event of a price rise. However, while GUPPI estimates are based on the pressure faced by one firm to unilaterally increase its product price in response to a merger with a competitor, IPRs allow for the merged entity to raise the prices of all its products simultaneously to maximise its overall profits, holding other rivals' prices constant. Estimated price rises from linear IPRs are higher than estimates based on the GUPPI divided by 2 formula, because IPRs reflect the mutually reinforcing benefits of simultaneous price rises across all of the merged entity's products. A variety of IPR models can be used, with different assumptions on the demand structure and assumptions to solve the model. The key differences are:
- Linear models predict the lowest price increases, because consumers' sensitivity to price changes is assumed to increase as prices rise while isoelastic models predict the highest price increases. Allowing more curvature in demand functions, as in the isoelastic model,³ generates larger expected price increases.
 - Models can assume Slutsky symmetry for a simpler model solution. However, while Slutsky symmetry holds theoretically at the level of a single consumer, there is no reason to suggest it holds in general, once multiple consumers' complex preferences are aggregated. When asymmetries regarding consumers' substitution patterns occur with income or wealth changes, it may be advisable to use a generic model without the Slutsky symmetry assumption, if this is available.⁴

¹ T Valletti and H Zenger, 'Mergers with Differentiated Products: Where Do We Stand?' (2021) 58 *Review of Industrial Organization* 179-212, p. 192.

² S Moresi, 'The Use of Upward Price Pressure Indices in Merger Analysis' (2010) *The Antitrust Source*, American Bar Association.

³ T Valletti and H Zenger, 'Mergers with Differentiated Products: Where Do We Stand?' (2021) *Review of Industrial Organization* 179-212, p. 192. The Second Ockerby Report has estimates of the linear and Isoelastic versions of the IPR: IAG, Jason Ockerby (CEG) *Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 1 July 2026. 65005.001.022.0044.

⁴ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, para. 54, p. 12. 65005.001.051.0001.

Requirements for GUPPI and IPR estimation

1.9. GUPPI and IPR estimates require similar assumptions, although each IPR also explicitly assumes a demand structure. The assumptions are:

- The parties overlap in the selling of a particular product, with a given price and gross margin representing all of the party's sales of that product. Products are differentiated but substitutable, with substitution between the parties' products following a relative price increase in one of them represented by a diversion ratio. The parties are assumed to profit maximise both before and after the merger.
- For IPRs, an assumption of the demand structure is needed. As noted above, linear demand generates the lowest price change estimates and Isoelastic the highest. Linear models have cost passthrough less than 1 (and a half for a monopoly, which is the lower bound).⁵ Isoelastic models have a cost passthrough greater than 1.

1.10. GUPPIs and IPRs require the following inputs:

- Gross margins – indicate the profit on recaptured sales. This margin is equal to the dollar value of incremental sales of a product, subtracting only the dollar value of marginal or incremental variable costs incurred to supply those incremental sales (e.g. cost of goods sold).
- Diversion ratios – indicate the proportion of sales of one merging firm's product lost due to a price increase that are recaptured through increased sales of the other merging firm's product. Switching data is useful for estimating diversion, as it records the percentage of lost sales moving to substitute products in the market. However, the diversion ratio derived from switching data may, in some cases, need to be adjusted downward to reflect a percent of lapsed customers no longer buying the product as a result of the price change (see next point).⁶
- The percent of lapsed customers leaving the market. This is known as the outside share. The general formula for the outside share is:

$$k = \frac{\epsilon_m}{\text{avg}(\epsilon_i)}, \text{ where } k \text{ is the outside share and } \epsilon_m \text{ is market-wide elasticity, and } \text{avg}(\epsilon_i) \text{ is the market weighted average of individual firm elasticity.}$$

- Prices – are used to indicate dollar margins in the model, as percent gross margins are generally used, and put the change in price in percent form.
- Market share – some IPR derivations (e.g. Hausman (2011)⁷), require market shares to generate price effects.

⁵ In simple symmetric price competition models the pass-through will increase towards 1 when the number of firms increase.

⁶ Switching data is often criticised because the reason for the switch is unknown. Any customer switch may be caused by multiple factors, but renewal price is generally a key consideration given the low probability of a claim in the preceding period. Claim experience may also be a reason.

⁷ S Moresi, 'The Use of Upward Price Pressure Indices in Merger Analysis' (2010) *The Antitrust Source*, American Bar Association; J Hausman et al, 'Unilateral effects of mergers with general linear demands' (2011) 111(2) *Economics Letters* 119-121, p. 120.

Off-the-shelf Merger simulation models

- 1.11. Merger simulation models for standard demand structures are contained in the R package ‘antitrust’.⁸ Mr Ockerby, on behalf of the Parties, completed merger simulation modelling using:
- Linear demand – which produces low price effect results for the same reason as it does for the IPRs.
 - Almost Ideal Demand System (AIDS) – this models an expenditure demand system including the effect on market-wide prices.
 - Log-linear Demand system – models isoelastic demand in a merger simulation. However, results appear unstable, showing limited effect.

- 1.12. By way of a note of caution about merger simulation modelling, Dr Jill Walker (2020),⁹ stated that:

Incorrect information or assumptions can have a dramatic effect on the predicted price rises. For example, if demand is isoelastic rather than linear, predicted price effects will be larger, yet accurately estimating demand functions is difficult: in particular, demand elasticity at current prices is not necessarily indicative of demand elasticity at higher prices.

As a consequence of these difficulties, merger simulation will generally produce a wide range of plausible price rises. Retrospective analysis of horizontal merger simulation models generally find that they have not performed well.

Merger simulation must always be combined with in depth fact based economic analysis of all the issues relevant to the potential competitive effects of a merger. Indeed, good merger simulation will be grounded in and consistent with the observable facts in the market. Given the data (and time) limitations in any particular merger review, it may well be the case that merger simulation can add little to UPP, price-concentration analysis or more qualitative analysis. Nevertheless, in appropriate cases a well done merger simulation can be valuable.

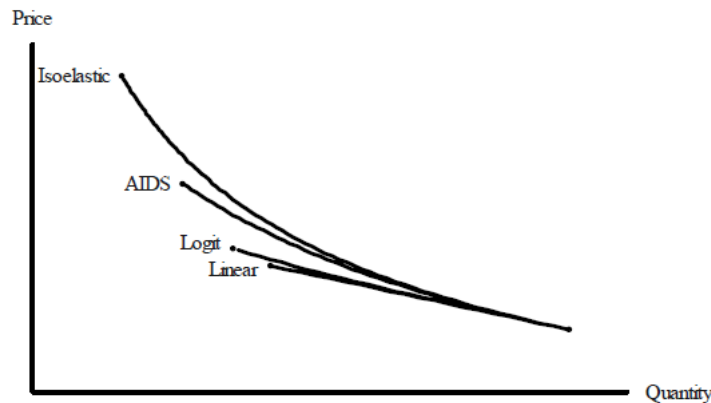
- 1.13. Accordingly, users of merger simulation models rely on both the model to fit the facts, and accurate inputs. For example, understanding the demand structure of the market and obtaining accurate and appropriate estimates of margins and diversion ratios is important. Applying an ‘off-the-shelf’ merger simulation model that is not tailored to the circumstances may add little more to an UPP estimate or analysis of price concentrations, as noted by Dr Walker.
- 1.14. The curvature of different demand models is shown below in Figure 1.¹⁰ As can be seen, curvature can play an important role in the price formation of a market. Linear models exhibit a low degree of cost passthrough and isoelastic the highest. The form of demand model has a similar impact in price effects models, including merger simulation.

⁸ C Taragin and M Sandfort, Package ‘antitrust’ Tools for Antitrust Practitioners (2015).

⁹ OECD, [Economic analysis in merger investigations](#), OECD Global Forum on Competition Discussion Paper, 2020, pp. 42-43.

¹⁰ G Werden and L Froeb, ‘Unilateral Competitive Effects of Horizontal Mergers’ (2005) *Advances in the Economics of Competition Law*, MIT Press, Chapter 3.

Figure 1: Demand curves plotted between the Competitive and Monopoly Prices



The price impact of the Distribution Agreement (Step 1 effect)

- 1.15. The Second Ockerby Report **[Confidential - Redacted]** **[Confidential - Redacted]** **[Confidential - Redacted]**.¹¹ **[Confidential - Redacted]**¹² **[Confidential - Redacted]**.¹³
- 1.16. The ACCC considers that just as rivalry-enhancing efficiencies may be relevant to its assessment of the competitive effects of a merger, rivalry-dampening inefficiencies are also relevant.¹⁴ For example, parties to a vertical merger may seek to claim efficiencies from the avoidance of double marginalisation as an offset to any upward price pressure that may result from potential partial foreclosure. In the present case, **[Confidential - Redacted]**.¹⁵ **[Confidential - Redacted]**, the ACCC considers that it is appropriate for the Step 1 price effect to be taken into account as an additive to the upward pricing pressure arising from the horizontal effects of the Acquisition. Regarding the scope for IAG and RACI to **[Confidential - Redacted]**, the ACCC is not aware of IAG and RAC agreeing to do either of those things and has therefore set aside that suggestion.
- 1.17. In the calculation of the Step 1 price effect, Mr Ockerby submitted that the ACCC erred in three ways in calculating the price effect of the commission:¹⁶
 - **[Confidential - Redacted]**
 - **[Confidential - Redacted]**
 - **[Confidential - Redacted]** **[Confidential - Redacted]**.

¹¹ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 14-15, section 2.4.1. 65005.001.022.0044.

¹² IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 55-56, section 8.1.1. 65005.001.022.0044.

¹³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 55-56, section 8.1.1. 65005.001.022.0044.

¹⁴ ACCC, [Merger assessment guidelines](#), 20 June 2025, paras 6.21-6.23.

¹⁵ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 56, 60-63, sections 5.3.4, 5.5.2. 65005.001.005.1024.

¹⁶ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026. 65005.001.022.0044.

- 1.18. The ACCC notes the formula for calculating the Step 1 price effect varies depending on the form of demand:

The formula for linear demand (monopolist) is:¹⁷

$$\text{Change in Price - Linear Demand} = \frac{\frac{1}{\beta} \left[1 - m - \frac{c_d}{P} \right] - [1 - m]}{2}$$

The formula for assuming Isoelastic demand is:

$$\text{Change in Price - Isoelastic Demand} = \frac{1 - m - \frac{c_d}{P}}{(1 - m)\beta} - 1$$

Where: β is $1 - \text{commission}$, $\frac{c_d}{P}$ is the distribution cost expressed as a percent of gross premium, and m is the gross margin calculated using gross premiums.

- 1.19. The ACCC's estimate of distribution costs of **[Confidential - Redacted]** of gross premium is based on **[Confidential - Redacted]**,¹⁸ and **[Confidential - Redacted]** indicating that the cost of distribution at RAC is between **[Confidential - Redacted]**.¹⁹ The **[Confidential - Redacted]** estimate equates to **[Confidential - Redacted]** of FY25 gross premiums of **[Confidential - Redacted]**. In addition, the ACCC notes that for FY2025 **[Confidential - Redacted]**.²⁰ **[Confidential - Redacted]**.
- 1.20. The ACCC notes that **[Confidential - Redacted]**.
- 1.21. Regarding the current **[Confidential - Redacted]**, the ACCC regards this as a related party transaction that **[Confidential - Redacted]**, **[Confidential - Redacted]**. **[Confidential - Redacted]**.²¹ Further, as RACWA is the 100% owner of RACI, it makes sense **[Confidential - Redacted]**.
- 1.22. When the **[Confidential - Redacted]**.

Adjustment of RACI Gross Margins.

- 1.23. The formula for calculating IAG's gross margin on RAC insurance products is the following:

$$m_{new}^G = 1 - \frac{c}{P^{IAG}} = 1 - \left(\frac{c_t - c_d}{P^{RAC}} \right) \frac{P^{RAC}}{P^{IAG}} - \frac{D}{P^{IAG}}$$

$$m_{new}^G = 1 - \left([1 - m_{RAC}^G] - \frac{c_d}{P^{RAC}} \right) \frac{P^{RAC}}{P^{IAG}} - \frac{D}{P^{IAG}}$$

¹⁷ This calculation assumes an interplay with rival insurers. The First Ockerby Report states that **[Confidential - Redacted]**. See IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026. 65005.001.005.1024.

¹⁸ **[Confidential - Redacted]**.

¹⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁰ **[Confidential - Redacted]**.

²¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

Where $\frac{c_t}{p_{RAC}}$ is ratio of total cost to GWP for RAC, $\frac{c_d}{p_{RAC}}$ is the ratio of distribution cost to GWP for RAC, $\frac{D}{p^{IAG}}$ is **[Confidential - Redacted]**, p^{IAG} is the RAC price after the Step 1 effect, p^{RAC} is the RAC-branded price before Step 1, and m_{RAC}^G is the pre-adjustment RACI gross margin.

- 1.24. Table A calculates the margins to be used after the effect of the Distribution Agreement. The ACCC notes that when the price of RAC-branded products **[Confidential - Redacted]**. Similarly, a **[Confidential - Redacted]** flows through to **[Confidential - Redacted]** which then affects the calculated price effects.

Table A: The Effect of the Distribution Agreement on RACI Post-Acquisition Price

	ACCC view: [Confidential - Redacted] relevant				Alternative view: [Confidential - Redacted] relevant			
	Motor Vehicle		Home and Contents		Motor Vehicle		Home and Contents	
	CEG	ACCC	CEG	ACCC	CEG	ACCC	CEG	ACCC
RACI net								
Retention factor	[Confidential - Redacted]				[Confidential - Redacted]			
RACI gross margin								
[Confidential - Redacted]								
[Confidential - Redacted]	[Confidential - Redacted]				[Confidential - Redacted]			
	Post-merger Price change				Post-merger Price change			
Step-1 Linear	[Confidential - Redacted]				[Confidential - Redacted]			
Step-1 Isoelastic								
	Post-merger margins				Post-merger margins			
RACI margin linear								
RACI margin Isoelastic	[Confidential - Redacted]				[Confidential - Redacted]			

Source: ACCC calculations; RACI net is RACI's gross margin calculated using net premiums.

Assumptions for GUPPIs, IPRs, and Merger Simulation

- 1.25. The inputs to the incentive-based price effects are discussed below. The methodological differences between the estimates prepared by Mr Ockerby and the ACCC are also discussed below

Diversion Ratios

- 1.26. Diversion ratios reflect the ability of the merged entity to recapture sales following a price increase. When a merger occurs between rivals, the profit maximisation condition of the merged entity changes and the diversion ratio and gross margins are key to measuring recaptured profits.

- 1.27. For calculating GUPPI, and IPRs, **[Confidential - Redacted]**.²² **[Confidential - Redacted]**.
- 1.28. Mr Ockerby's approach raised two additional issues with regard to his application of diversion ratios. These are discussed below.

Moderation of diversion ratio

- 1.29. In the First Ockerby Report, **[Confidential - Redacted]**.²³ **[Confidential - Redacted]**. This had the effect of **[Confidential - Redacted]**.²⁴
- 1.30. In reviewing the First Ockerby Report, Mr Smith explained that the reason for diversion ratios in price effect models is to reflect the substitution patterns of consumers. Mr Smith notes:

*The diversion ratio, in particular, has a specific and narrow economic meaning within this framework. [I]t is the proportion of customers who would switch from one product to another in response to a small relative price increase, conditional on the pre-merger competitive environment. It is a calibration of pre-merger consumer substitution patterns."*²⁵

Mr Smith went on to say:

*In my view, the appropriate treatment is to present the unmoderated IPRs as the central case, and to deal with the termination-right argument separately as a forward-looking consideration."*²⁶

- 1.31. In response to Mr Smith's comments, Mr Ockerby in the Second Ockerby Report **[Confidential - Redacted]**.²⁷
- 1.32. The ACCC agrees with Mr Smith's assessment and believes the **[Confidential - Redacted]** is inappropriate, particularly when considering the reason to calculate upward pricing pressure measures is to test the upward pricing pressure.

Source of diversion ratios

- 1.33. In the First Smith Report, Mr Smith states that a selection of diversion ratio sources is beneficial, as diversion ratios are measured with error and are point-in-time estimates.²⁸

²² IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 53, Table 5-5. 65005.001.005.1024.

²³ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 59, para. 245. 65005.001.005.1024.

²⁴ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 61, 64, Table 5-10 and Table 5-12. 65005.001.005.1024. The effect was to lower the price increase in Mr Ockerby's report by **[Confidential - Redacted]** in motor vehicle and **[Confidential - Redacted]** in home and contents insurance premiums.

²⁵ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 31, para. 143. 65005.001.051.0001.

²⁶ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 31, para. 145. 65005.001.051.0001.

²⁷ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 60-61, paras. 317-318. 65005.001.022.0044.

²⁸ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, para. 19 and section 2.2.2. 65005.001.051.0001.

- 1.34. In that regard, the ACCC calculated diversion ratios from the two Commbank iQ annual switching data sets, RFI Global volume market share data (market-share diversion ratios), **[Confidential - Redacted]**.²⁹
- 1.35. In addition, the ACCC used **[Confidential - Redacted]** split the Commbank iQ combined switching data into motor vehicle and home and content insurance diversion ratios.³⁰ While the ACCC notes this is not ideal, the approach is pragmatic and keeps elements of the combined motor vehicle and home and contents insurance switching patterns, while using market shares to split the diversion ratios.
- 1.36. To assess sensitivity to diversion ratios, the ACCC used diversion ratios from four sources to develop its estimates of GUPPIs and IPRs in motor vehicle and separately in home and contents insurance.³¹ This approach simulates the impact of different substitution patterns between the parties occurring in the future. It also provided a robustness check of the results.
- 1.37. However, for its merger simulation modelling, the ACCC's analysis used only diversion ratios based on Commbank iQ switching data for August 2024 to August 2025, **[Confidential - Redacted]**. This is because the ACCC was primarily interested in isolating the effect of different market-wide demand elasticities on Mr Ockerby's reported merger simulation results. The ACCC agrees with Mr Smith that switching data is a preferred source to stated preference surveys and market shares.³²
- 1.38. That said, for the practical purpose of computing GUPPIs and IPRs, the ACCC considers that diversion ratios are not a key point of difference. **[Confidential - Redacted]**.³³ **[Confidential - Redacted]**, the ACCC considers that revenue market shares are useful under the assumption that rival insurance firms on average trade with the same price for the same risk and coverage, **[Confidential - Redacted]**. **[Confidential - Redacted]**.

Outside option

- 1.39. The Second Ockerby Report **[Confidential - Redacted]**.
- 1.40. The ACCC considers that an outside option is a valid economic inclusion. However, its use needs to be carefully considered, because an outside option refers to the

²⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁰ The diversion ratio for motor[home] is calculated as: market share-based diversion ratio for motor[home] multiplied by CommBank iQ combined diversion ratio divided by the volume weighted market share-based diversion ratio of the lapsed customer's firm. For example, consider diversion ratio of motor insurance from firm A to firm B. If market share diversion ratio for motor is 50%, market share diversion for home is 35%, CommBank iQ combined diversion is 40% and volume weights of policies of firm A is 60% motor and 40% home, then the combined market share diversion ratio is $0.6 \times 50\% + 0.4 \times 35\% = 44\%$. This is higher than the CommBank iQ combined diversion ratio of 40%. The motor diversion ratio from market shares is then decreased by $0.4/0.44$. The calculated motor diversion ratio from firm A to B is 45.5%. Market shares are RFI Global volume shares (**[Confidential - Redacted]**). This is a similar method to that adopted by Mr Jason Ockerby who divided by a revenue weighted average diversion ratio for motor and home from volume share data (IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 45. 65005.001.005.1024).

³¹ The ACCC use of four-sets of diversion ratios likewise creates a range to reflect the uncertainty of the inputs. **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³² ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, pp. 72-76. 65005.001.051.0001.

³³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, section 6.1, p. 31. 65005.001.022.0044.

scope for customers to leave the market completely. **[Confidential - Redacted]**.³⁴ This allows for customers to change the coverage of insurance rather than leaving the market entirely (to an outside option).

- 1.41. **[Confidential - Redacted]**.³⁵ **[Confidential - Redacted]**. Moving from an assumed outside option to assumed market elasticity will mean the outside options are different in both cases.
- 1.42. The ACCC also has concerns about the magnitude of the elasticities and the outside options **[Confidential - Redacted]**. With regard to the home and contents insurance market demand elasticity, the Second Ockerby Report cited Robert Tooth (2015) as a source of a market demand elasticity. The Tooth paper also estimated the participation elasticity. Tooth found a participation elasticity of -0.06 for home insurance and -0.191 for contents insurance among those owning a house. For contents insurance including renters, Tooth found a higher but insignificant elasticity of -0.34. This accords with Tooth's sample recording high insurance take-up by homeowners where: 96% have home insurance, 96% have either home or contents insurance, and 90% have contents insurance. A high take-up of insurance means a very low elasticity, as would be consistent with a necessity good. Comparing this result with renters, Tooth found only 40% of all renter households have contents insurance.³⁶
- 1.43. Despite data to suggest low elasticities, **[Confidential - Redacted]**.³⁷ **[Confidential - Redacted]**. However, this elasticity includes reducing coverage from a price change and not necessarily ceasing participation, which is relevant for an outside option calculation. This result, combined with the low home and contents purchase elasticities for house owners, meant that the result was driven by homeowners buying less or renters deciding to buy less, or no contents insurance at all. Additionally, Tooth (2015) Table 23 showed that when the same regression model was run with only homeowners, the expenditure elasticity for home insurance dropped to -0.55 and the result was not statistically significant. Hence the expenditure elasticity result was driven by renters' expenditure on contents insurance.^{38, 39}
- 1.44. The ACCC also conducted a literature review of the take-up demand elasticity and is satisfied that a reasonable elasticity estimate is in the range -0.1 to -0.3 for home and contents insurance (see Table 19).
- 1.45. For motor vehicle insurance, **[Confidential - Redacted]** market demand elasticity **[Confidential - Redacted]**. The ACCC considers that this is too high and that a reasonable estimate is likely to be much lower for similar reasons to home and

³⁴ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 77-78, section 9.2.4. 65005.001.022.0044.

³⁵ As an example, using the formula at para 1.10, **[Confidential - Redacted]**.

³⁶ R Tooth, 'Analysis of demand for home and contents insurance' (2015) *Insurance Council of Australia*, Sapere Research Group.

³⁷ Tooth (2015) decomposes the -1.34 elasticity into probability of holding insurance -0.53 and lowering insurance expenditure -0.81. Tooth said this decomposition is indicative. Which means we can't rely on the calculation. It is better to estimate the probability of holding insurance directly.

³⁸ A related issue about Tooth's result is that there is misspecification error in many equations with state fixed effect dummies not used. Tooth was unable to correct for this because some states lack tax change variation which was his proxy for a price change.

³⁹ Further, the ACCC calculates that only 28.4% of renter households have content insurance (2009/10), and that they consisted of 37% of the sample (2009/10). This accords with contents insurance for renters having a higher market demand elasticity.

contents insurance. Not only is a vehicle a significant financial asset that needs protecting, but insurance can save the driver significant cost if they are at fault in an accident. The ACCC's literature review found three studies relevant to this (see Table 19). The Kluender (2022) study examined buying responses of uninsured drivers on a daily insurance pilot program.⁴⁰ The study yielded an elasticity of -0.63. Considering the drivers were uninsured, the ACCC is cautious of this result. The second study by Jaffee and Russell (1995) estimated an insurance premium elasticity of -0.63 in California,⁴¹ and itself cited an earlier paper by Blackmon and Zechauser (1991)⁴² with an elasticity of -0.57 in Massachusetts. A differentiating factor between the states was the percent uninsured; California had 23.3% uninsured, and Massachusetts had 5.8%. In comparison, analysis of insurance take-up in Western Australia by the ACCC found that 84.9% of registered vehicles have insurance.⁴³

- 1.46. Lastly, a study by Guelman and Gullen (2014) estimated lapse rates by a large Canadian insurer after its customers were sent a renewal notice.⁴⁴ The lapse rates indicated in the study allow a rudimentary calculation of a lapse elasticity of 0.25 percent for a 1 percent increase in premium renewal price offered. The main result of the paper was that lapse rates differ significantly when controlling for factors within different sub-groups. The ACCC believes a motor vehicle insurance elasticity in the range -0.25 to -0.75 is appropriate.

Gross margin

- 1.47. Gross margins are necessary for calculating the merged entity's incentives to increase prices in GUPPI and IPR models. The higher the gross margin on one merging firm's product(s), the greater the pricing pressure indicator on the other merging firm's product, meaning that pricing pressure on RACI depends in part on IAG's margins and vice-versa.
- 1.48. Gross margins are also crucial to calibrate IPR and merger simulation models. Higher margins also mean lower own price elasticity, meaning fewer consumers leave after a price rise and less substitution between firms (lower cross-elasticities) can be expected. Gross margins are derived as follows:

$$\text{Gross Margin} = \frac{\text{Price} - \text{Marginal Cost}}{\text{Price}} = \frac{\text{Rev} - \text{Total Marginal Costs}}{\text{Rev}}$$

- 1.49. To calculate gross margins, marginal costs, or marginal incremental costs, must be identified. These are costs that are incurred when an extra unit of output is sold. As an approximation, variable costs are often used in place of marginal costs. Judgement is required as to whether a cost will increase when quantity increases in the neighbourhood of the previous equilibrium, or equivalently, decrease for a decline in quantity sold. Mr Smith's report notes that it is rarely straightforward to

⁴⁰ R Kluender, 'Pay-As-You-Go Insurance: Experimental Evidence on Consumer Demand and Behavior' (2024) 37(4) *Review of Financial Studies* 1118-1148.

⁴¹ T Russell and D Jaffee 'The causes and consequences of rate regulation in the auto insurance industry' (Working Paper No 5245, National Bureau of Economic Research, September 1995).

⁴² G Blackmon and R Zechauser, 'Misprice Equity: Regulated Rates for Auto Insurance in Massachusetts' (1991) 81(2) *American Economic Review* 65-69.

⁴³ BITRE, [Road Vehicles Australia January 2025](#), 31 January 2025, pp. 4, 31; [Confidential - Redacted].

⁴⁴ L Guelman and M Gullen, 'A causal inference approach to measure price elasticity in Automobile Insurance' (2014) 41(2) *Expert Systems with Applications* 387-396.

identify precisely which costs are marginal and which are fixed, and that this will depend on the time period considered.⁴⁵ Mr Smith cited the need to interrogate the Parties' management accounts and internal financial reporting to identify which cost categories *actually* vary with the volume of policies underwritten. Further, given the variability of insurer profitability driven by claims experience and natural catastrophe events, Mr Smith recommended calculating at least the loss ratio portion of costs on the basis of multi-year averages rather than relying on the single most recent year.

- 1.50. **[Confidential - Redacted]**.⁴⁶ The ACCC estimated gross margin by summing the current target/budgeted insurance margin and non-marginal costs. Mathematically, this is the same as subtracting marginal costs from revenue. The key point is that the loss ratios, claims handling costs, and other costs are consistent with actuarial estimates of the insurer and have a rigorous budget process behind the numbers.

$$\text{Gross Margin} = \text{Expected insurance margin} + \frac{\text{Non variable costs}}{\text{Earned premium}}$$

- 1.51. The Smith Report commented that using this approach has advantages, in that it is forward looking and a useful cross check of historically derived margins.⁴⁷ However, a known deficiency of using budgeted margins is they may be downwardly biased in that they systematically turn out to be too low. In that sense, the ACCC's approach of using budgeted margins is conservative from the perspective of estimating the price effects of the Acquisition. The ACCC compared RACI's actual insurance margin to its budgeted margin and found the average underestimate in the budgeted margin was **[Confidential - Redacted]**.

Figure 2: [Confidential - Redacted]

[Confidential - Redacted]

- 1.52. Similarly, the ACCC compared the target insurance margins to actual insurance margin outcomes for IAG in Western Australia and found that for the period FY2021 to FY2025, IAG's actual margin was on average **[Confidential - Redacted]** than its target insurance margin for home and contents insurance and **[Confidential - Redacted]** for motor vehicle insurance.
- 1.53. A standard approach for estimating gross margins is using historical data to calculate the gross margin for insurers is:

$$\text{Gross Margin Insurance} = \frac{\text{Net Earned Premium} - \text{Variable Costs}}{\text{Earned Premium}}$$

- 1.54. This method has a high degree of variability and requires a long time period of detailed data to provide robustness. This was the approach Mr Ockerby used and the ACCC also used this approach as a reasonableness check.

⁴⁵ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, section 2.2.1. 65005.001.051.0001.

⁴⁶ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, section 7.2. 65005.001.022.0044.

⁴⁷ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 102. 65005.001.051.0001.

Gross margins using net premiums

- 1.55. Both the ACCC and Mr Ockerby initially calculated gross margins using the net earned premium as the denominator.⁴⁸ This is the industry standard for insurance margin reporting, as stakeholders are interested in the insurer's performance on the risk it retains. Since all insurers buy reinsurance to varying degrees and because the purchase of reinsurance creates an expected claim recovery, netting out reinsurance premium makes sense. It is worth noting that reinsurance policies can vary immensely. Common policies are quota share and excess of loss insurance (**XOL**).
- 1.56. The ACCC analysed how reinsurance can be incorporated into price effects models. The ACCC found when all reinsurance is treated as a quota share, the Lerner index expressed as the inverse of price elasticity of demand is equal to the percent gross margin using net premium.⁴⁹ This model was used to update GUPPI and IPR estimates in the **[Confidential - Redacted]**. While the model is correct if that assumption about the form of reinsurance used holds, the ACCC has reassessed its view on the correctness of that assumption, given that XOL reinsurance is a key component of most insurers' reinsurance arrangements. **[Confidential - Redacted]**, the ACCC has used the gross premium as the denominator in this Statement of Reasons.

ACCC approach to gross margins

- 1.57. As suggested in the Smith Report, the ACCC calculated a central estimate of gross margins and used different methods and sources as robustness checks. The ACCC agrees with Mr Smith that gross margins for insurers are highly uncertain and that a range of gross margins should be used in pricing pressure formulas.⁵⁰
- 1.58. In the Smith Report, Mr Smith noted that in the Tryg/Alka merger (2018),⁵¹ the Danish Competition and Consumer Authority (**DCCA**) calculated the merging parties' gross margins using a marginal cost concept comprising only those costs that varied directly with the sale of an additional policy, namely expected claims payments (approximated using historical claims payments) and commissions associated with new customer acquisition. Fixed and overhead costs were excluded, consistent with the European Commission's practice in Hutchison 3G Austria/Orange Austria, Hutchison/3G Telefonica Ireland, Telefonica Deutschland/E-Plus and Hutchison 3G Italy/Wind.⁵²
- 1.59. The ACCC took a similar view on allocating corporate overhead cost and administration cost as a non-variable cost.

⁴⁸ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 46, para 185. 65005.001.005.1024; IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 13 para 47. 65005.001.022.0044; ACCC, Notice of Competition Concerns, 25 May 2026. 65005.001.056.0001.

⁴⁹ When treating all reinsurance as fungible and consistent with the returns for Quota-Share reinsurance, the implicit assumption is all types of reinsurance earn the same margin, and this is also equal to the insurer's margin. In essence reinsurance is a pure risk-sharing device.

⁵⁰ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, pp. 106, 174. 65005.001.051.0001.

⁵¹ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 22, para. 100.1. 65005.001.051.0001. The full Decision from the DCCA can be found, in Danish, at: <https://kfst.dk/media/53414/20181122-trygs-koeb-af-alka.pdf>.

⁵² Hutchison 3G Austria/Orange Austria; Commission Decision of 28 May 2014 in Case M.6992 Hutchison 3G UK/Telefónica Ireland; Commission Decision of 2 July 2014 in Case M.7018 Telefónica Deutschland/E-Plus; and Commission Decision of 1 September 2016 in Case M.7758 Hutchison 3G Italy/Wind/JV.

- 1.60. The ACCC chose to use the following ranges of gross margins to test the IPR results, rather than a single point estimate (see Table 1). The ranges are:
- RACI motor*: **[Confidential - Redacted]** with the central estimate **[Confidential - Redacted]** (**[Confidential - Redacted]**)
 - RACI home*: **[Confidential - Redacted]** with the central estimate **[Confidential - Redacted]** (**[Confidential - Redacted]**)
 - IAG motor: **[Confidential - Redacted]** with the central estimate **[Confidential - Redacted]** (**[Confidential - Redacted]**)
 - IAG home: **[Confidential - Redacted]** with the central estimate **[Confidential - Redacted]** (**[Confidential - Redacted]**)
- *RACI gross margins are after the step 1 increase
- 1.61. The ACCC undertook analysis of gross margins using historical data for expenses and robustness testing of its treatment of various expenses. This analysis provided a valued reasonableness check that the margins calculated using the budget methodology are suitably conservative. For the central estimates, the RACI margins estimated using the budgeted margin methodology were found to be consistent with historical margins, and the IAG margins (which used a single estimate for fixed costs) were a little higher than other measures. The IAG gross margin applied by the ACCC uses fixed costs from FY2020 to FY2025 for the central estimate.

Observations from the parties on non-variable and variable costs

RACI

- 1.62. The ACCC notes that in the **[Confidential - Redacted]**.⁵³ Indirect costs are:

[Confidential - Redacted]⁵⁴

- 1.63. Additionally, the ACCC notes an **[Confidential - Redacted]**:

[Confidential - Redacted]⁵⁵

- 1.64. Further, **[Confidential - Redacted]**.⁵⁶

IAG

- 1.65. Likewise, **[Confidential - Redacted]**. It states:

[Confidential - Redacted]

[Confidential - Redacted]⁵⁷

⁵³ **[Confidential - Redacted]**.

⁵⁴ **[Confidential - Redacted]**.

⁵⁵ **[Confidential - Redacted]**.

⁵⁶ **[Confidential - Redacted]**.

⁵⁷ **[Confidential - Redacted]**.

- 1.66. The above allocation is consistent with the decision of the DCCA in the Tryg/Alka merger (2018).⁵⁸

Mr Ockerby's estimates of gross margins

- 1.67. The First Ockerby Report explained his approach to calculating gross margins, which utilised historical data. **[Confidential - Redacted]**.⁵⁹ Mr Ockerby's approach was reviewed in the Smith Report.
- 1.68. The gross margin calculations in the First Ockerby Report contained some apparent oddities and **[Confidential - Redacted]**. Examples from key cost categories are discussed below.

Peril costs

- 1.69. **[Confidential - Redacted]**.⁶⁰ **[Confidential - Redacted]**.⁶¹ **[Confidential - Redacted]**.

Underwriting Expenses

- 1.70. **[Confidential - Redacted]**.
- **[Confidential - Redacted]**.

Combining cost ratios for RACI

- 1.71. The First Ockerby report **[Confidential - Redacted]**. The ACCC considers that the issues with this approach include:
- **[Confidential - Redacted]**.⁶²
 - **[Confidential - Redacted]**.
 - **[Confidential - Redacted]**.
 - **[Confidential - Redacted]**.
 - **[Confidential - Redacted]**.
- 1.72. Regarding the first bullet point, Mr Smith noted that **[Confidential - Redacted]**. When Mr Smith reversed this change, **[Confidential - Redacted]**, the estimated margin on RAC-branded products for motor **[Confidential - Redacted]** **[Confidential - Redacted]** to **[Confidential - Redacted]**, and for home and contents **[Confidential - Redacted]** **[Confidential - Redacted]** to **[Confidential - Redacted]**.⁶³
- 1.73. Mr Smith then calculated the IPRs assuming margins were unchanged post-Acquisition and a (dis)synergy effect was included for RACI for the increase in cost.

⁵⁸ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 22, para. 100.1. 65005.001.051.0001. The full Decision from the DCCA can be found, in Danish, at: <https://kfst.dk/media/53414/20181122-trygs-koeb-af-alka.pdf>.

⁵⁹ IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, pp. 272-276. 65005.001.005.1024.

⁶⁰ IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, p. 48, Figure 5-1. 65005.001.005.1024.

⁶¹ IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, p. 53, Table 5-5. 65005.001.005.1024. **[Confidential - Redacted]**.

⁶² Adding ratios with a different denominator is also mathematically incorrect.

⁶³ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 35, para. 163.3. 65005.001.051.0001. Smith submits this has ramifications for the price sensitivities of RACI customers.

Using these assumptions, Mr Smith calculated that the IPR for IAG [Confidential - Redacted] to [Confidential - Redacted] and the IPR effect for RAC-branded products [Confidential - Redacted] to [Confidential - Redacted], with a combined price effect of [Confidential - Redacted]. A [Confidential - Redacted] post-Acquisition price effect occurred for home and contents insurance.⁶⁴

- 1.74. Mr Smith then explored the effect of changes in the gross margin assuming lower marketing and distribution costs than [Confidential - Redacted]. This had the effect of [Confidential - Redacted] Mr Ockerby's GUPPI estimates.⁶⁵

Prices

- 1.75. Prices are particularly difficult to incorporate in price effects models for insurance. This is because of the nature of individualised risk pricing. For instance, when considering an insurance policy for two different consumers for a similar asset, different insurers could have very different pricing, and the cheapest premium for each consumer would not necessarily be from the same insurer. Price depends on the risk model of the insurer and margining assumptions specific to the consumer and risk. This, combined with non-transparent prices, means price can vary a lot when consumers receive quotes for insurance.
- 1.76. A related problem is determining a representative price for each insurer. This is because while insurers' products are tailorable to a certain extent, there are differences when it comes to the coverage of the policy. This is important when comparing median price levels provided by data firms such as Finity Consulting (who generate scraped datasets). In essence median insurer prices generated from scraped data may not reflect a like for like comparison, with any comparison also changing over time, as aspects of insurers' policies, such as default excess, change.
- 1.77. In the Second Ockerby Report, prices were [Confidential - Redacted]. The ACCC also used this approach. In essence, the detailed aspects of the industry's operation are difficult to fully reflect in a price effects model.

Models used

- 1.78. For IPRs, the ACCC used the Hausman et al (2011) model without Slutsky Symmetry.⁶⁶ This is because RACI and IAG have clear asymmetries in market share. Since Slutsky Symmetry is unlikely to hold in aggregate due to the complexities of consumer preferences, the ACCC adopted this standard model in preparing its empirical price effect estimates, as it did in the NOCC.

The Smith Report's observation on product and customer heterogeneity

- 1.79. The Smith Report advised caution on the applicability of the simple GUPPI, IPR, and merger simulation models in creating useful metrics for competition assessment.

⁶⁴ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 36, para. 165. 65005.001.051.0001.

⁶⁵ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 40, Table 6. 65005.001.051.0001.

⁶⁶ J Hausman, S Moresi, and M Rainey, 'Unilateral effects of mergers with general linear demands' (2011) 111(2) *Economics Letters* 119-121.

This is due to the heterogeneity of insurer offers to consumers, which vary by coverage of the insurer, the individual customer attributes, the insurer's risk calculation, and/or the insurer's ability to price discriminate.⁶⁷ Price effects models suggest the same price change would result for all customers. However, this is not likely to be the case in practice. In practice, insurers decide different prices and different margins for different customer types, and this could be based on their perceptions of risk or some other factor important to the insurer.

1.80. In Mr Smith's view heterogeneity has the following implications for any GUPPI or IPR that is calculated for an insurer:⁶⁸

- Relative prices should be treated with caution
- Diversion ratios should be treated with caution as they may not represent a like for like switch
- The average margin is likely not to be the margin on the recaptured customer. This is because the profitability of policies may be complex including the insurer's perception of the likely stickiness of the consumer.
- Insurers may compete more vigorously in some customer segments (risk score) than others, and an aggregate GUPPI may not be suitable.

⁶⁷ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 20, para. 90. 65005.001.051.0001.

⁶⁸ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 21, para. 96. 65005.001.051.0001.

A.2. GUPPI and IPR analysis

Model inputs

Table 1: Gross premium margins for ACCC and CEG calibrations

	CEG		ACCC	
Gross premium margins	Motor	Home	Motor	Home
RACI				
RACI – post step 1				
IAG	[Confidential - Redacted]			
Others (average RACI and IAG)				
Net premium margins to gross premium margins: net premium margins were divided by the following: [Confidential - Redacted]. The values in this table reflect gross premium margins. Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 8-4, Table 10-9. 65005.001.022.0044.				

Table 2: Outside share and market elasticity calibrations

Margin/Diversion ratio	CEG/CBA iQ		ACCC/RFI	
	Motor	Home	Motor	Home
Calibrated elasticity				
Implied diversion to outside option (CEG)*	[Confidential - Redacted]			
Implied diversion to outside option (ACCC)	13.2%	15.6%	23.0%	32.1%
Market elasticity calibrated to outside option assumption (ACCC)				
Calibrated diversion to outside option	10%	10%	10%	10%
Implied elasticity (outside option = 10%)	-0.76	-0.86	-0.43	-0.43
Calibrated diversion to outside option	20%	20%	20%	20%
Implied elasticity (outside option = 20%)	-1.51	-1.72	-0.86	-0.83
When the gross margin is higher, this decreases the firm specific elasticity, this means a larger outside option is required is larger for any given market demand elasticity. The outside option represents the degree of market leakage after a price increase. * Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 9-11. 65005.001.022.0044.				

CEG IPR Results

Table 3: CEG IPR results using [Confidential - Redacted]

[Confidential - Redacted]

Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 8-6. 65005.001.022.0044.

Table 4: CEG IPR results using [Confidential - Redacted]

[Confidential - Redacted]

Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 8-7, Table 8-8. 65005.001.022.0044.

ACCC results

Table 5: ACCC results for GUPPI and IPR analysis for motor vehicle insurance

Motor - GUPPI and IPRs				
Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Prices adjusted for Distribution Agreement (base shown)				
RACI				
RACI - Step 1 %chg		[Confidential - Redacted]		
IAG				
Gross margins (gross premiums)				
RACI				
RACI adjusted for step 1		[Confidential - Redacted]		
IAG				
Diversion ratio - market elasticity -0.5 (base shown)				
RACI to IAG				
IAG to RACI		[Confidential - Redacted]		
GUPPI				
RACI				
IAG adjusted margin		[Confidential - Redacted]		
IPR Hausman et al. (2011)				
RACI - Step 2 %chg				
RACI - Total %chg		[Confidential - Redacted]		
IAG				
Source: [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].				

Table 6: ACCC results for GUPPI and IPR analysis for home and contents insurance

Home and contents - GUPPI and IPRs				
Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Prices adjusted for Distribution Agreement (base shown)				
RACI				
RACI - Step 1 %chg		[Confidential - Redacted]		
IAG				
Gross margins (gross premiums)				
RACI				
RACI adjusted for step 1		[Confidential - Redacted]		
IAG				
Diversion ratio - market elasticity -0.2 (base shown)				
RACI to IAG				
IAG to RACI		[Confidential - Redacted]		
GUPPI				
RACI				
IAG adjusted margin		[Confidential - Redacted]		
IPR Hausman et al. (2011)				
RACI - Step 2 %chg				
RACI - Total %chg		[Confidential - Redacted]		
IAG				
<i>Source: See Table 5.</i>				

Sensitivity analysis – GUPPIs and IPRs

Table 7: Motor vehicle insurance – ACCC sensitivity analysis for GUPPIs

Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Baseline GUPPI: Market elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
	Gross margins -3%			
RACI	[Confidential - Redacted]			
IAG				
	Gross margins +3%			
RACI	[Confidential - Redacted]			
IAG				
	Outside option: Market elasticity -0.75			
RACI	[Confidential - Redacted]			
IAG				
	Outside option: Market elasticity -0.25			
RACI	[Confidential - Redacted]			
IAG				
	Diversion ratio -10% relative			
RACI	[Confidential - Redacted]			
IAG				
	Combined: gross margin -3%, diversion -10%, elasticity -0.75			
RACI	[Confidential - Redacted]			
IAG				
	Prices IAG 10% lower			
RACI	[Confidential - Redacted]			
IAG				
	Prices IAG 10% higher			
RACI	[Confidential - Redacted]			
IAG				
	Minimum GUPPI of sensitivities			
RACI	[Confidential - Redacted]			
IAG				
	Maximum GUPPI of sensitivities			
RACI	[Confidential - Redacted]			
IAG				

Source: See Table 5.

Table 8: Home and contents insurance – ACCC sensitivity analysis for GUPPIs

Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Baseline GUPPI: Market elasticity -0.2				
RACI	[Confidential - Redacted]			
IAG				
Gross margins -3%				
RACI	[Confidential - Redacted]			
IAG				
Gross margins +3%				
RACI	[Confidential - Redacted]			
IAG				
Outside option: Market elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
Outside option: Market elasticity -0.1				
RACI	[Confidential - Redacted]			
IAG				
Diversion ratio -10% relative				
RACI	[Confidential - Redacted]			
IAG				
Combined: gross margin -3%, diversion -10%, elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
Prices IAG 10% lower				
RACI	[Confidential - Redacted]			
IAG				
Prices IAG 10% higher				
RACI	[Confidential - Redacted]			
IAG				
Minimum GUPPI of sensitivities				
RACI	[Confidential - Redacted]			
IAG				
Maximum GUPPI of sensitivities				
RACI	[Confidential - Redacted]			
IAG				

Source: See Table 5.

Table 9: Motor vehicle insurance – ACCC sensitivity analysis for IPRs

Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Baseline IPR: Market elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
	Gross margins -3%			
RACI	[Confidential - Redacted]			
IAG				
	Gross margins +3%			
RACI	[Confidential - Redacted]			
IAG				
	Outside option: Market elasticity -0.75			
RACI	[Confidential - Redacted]			
IAG				
	Outside option: Market elasticity -0.25			
RACI	[Confidential - Redacted]			
IAG				
	Diversion -10% relative			
RACI	[Confidential - Redacted]			
IAG				
	Combined: gross margin -3%, diversion -10%, elasticity -0.75			
RACI	[Confidential - Redacted]			
IAG				
	Prices IAG 10% lower			
RACI	[Confidential - Redacted]			
IAG				
	Prices IAG 10% higher			
RACI	[Confidential - Redacted]			
IAG				
	Minimum IPR of sensitivities			
RACI	[Confidential - Redacted]			
IAG				
	Maximum IPR of sensitivities			
RACI	[Confidential - Redacted]			
IAG				

Source: See Table 5

Source: See Table 5

Table 10: Home and contents insurance – ACCC sensitivity analysis for IPRs

Diversion ratio source:	[Confidential - Redacted]	RFI market shares	CBAiQ 2023-24	CBAiQ 2024-25
Baseline IPR: Market elasticity -0.2				
RACI	[Confidential - Redacted]			
IAG				
Gross margins -3%				
RACI	[Confidential - Redacted]			
IAG				
Gross margins +3%				
RACI	[Confidential - Redacted]			
IAG				
Outside option: Market elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
Outside option: Market elasticity -0.1				
RACI	[Confidential - Redacted]			
IAG				
Diversion less 10% relative				
RACI	[Confidential - Redacted]			
IAG				
Combined: gross margin -3%, diversion -10%, elasticity -0.5				
RACI	[Confidential - Redacted]			
IAG				
Prices IAG 10% lower				
RACI	[Confidential - Redacted]			
IAG				
Prices IAG 10% higher				
RACI	[Confidential - Redacted]			
IAG				
Minimum IPR of sensitivities				
RACI	[Confidential - Redacted]			
IAG				
Maximum IPR of sensitivities				
RACI	[Confidential - Redacted]			
IAG				

Source: See Table 5

A.3. Basic merger simulation results

Motor vehicle insurance results

Motor: CEG results from Ockerby Second Report

Table 11: Merger simulation price effects in motor vehicle insurance [Confidential - Redacted]

Sector	Motor	Motor
Gross margins	CEG gross margins	ACCC gross margins
Diversion ratios	[Confidential - Redacted]	[Confidential - Redacted]
Elasticity		
Demand model		
RACI		
IAG		
Suncorp		
Allianz		
Auto & General		
Hollard		
Youi		
QBE		
Other		
Weight. avg. Parties		
Weight. avg. market		

Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 10-16, Table 10-17. 65005.001.022.0044.

Motor: ACCC results

Table 12: Merger simulation results for motor vehicle insurance – change in elasticity

Model	Elasticity	Gross margins	RACI price effect	IAG price effect	Other insurers price effect	Weight. avg. parties	Weight. avg. market
Linear	-0.25	CEG	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
		ACCC					
	-0.75	CEG					
		ACCC					
	-1	ACCC					
AIDS	-0.25	CEG					
		ACCC					
	-0.75	CEG					
		ACCC					

-1 ACCC

Gross margins are based on gross premiums. Diversion ratios source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 9-3. 65005.001.022.0044.

Motor: ACCC results sensitivity analysis to market-wide elasticity

Table 13: Motor – merger simulation price effects for market elasticity -0.5

Sector	Motor				Motor			
Gross margins	CEG gross premium margins				ACCC gross premium margins			
Diversion ratios	CBAiQ data 2024-25				CBAiQ data 2024-25			
Elasticity	-0.5				-0.5			
Demand model	Linear	CES	AIDS	Log-Linear	Linear	CES	AIDS	Log-Linear
RACI	[Confidential - Redacted]							
IAG								
Suncorp								
Allianz								
Auto & General								
Hollard								
Youi								
QBE								
Other								
Weighted average (merging firms)								
Weighted average (all firms)								

Table 14: Motor – merger simulation price effects for market elasticity -0.25

Sector	Motor				Motor			
Gross margins	CEG gross premium margins				ACCC gross premium margins			
Diversion ratios	CBAiQ data 2024-25				CBAiQ data 2024-25			
Elasticity	-0.25				-0.25			
Demand model	Linear	CES	AIDS	Log-Linear	Linear	CES	AIDS	Log-Linear
RACI	[Confidential - Redacted]							
IAG								
Suncorp								
Allianz								
Auto & General								
Hollard								
Youi								
QBE								
Other								

**Weighted
average
(merging firms)**
**Weighted
average
(all firms)**

Home and contents insurance results

Home: CEG results from Ockerby Second Report

Table 15: Merger simulation price effects in home and contents insurance [Confidential - Redacted]

Sector	Home	Home
Gross margins	CEG gross margins	ACCC gross margins
Diversion ratios	[Confidential - Redacted]	
Elasticity		
Demand model		
RACI		
IAG		
Suncorp		
Allianz		
Auto & General		
Hollard		
Youi		
QBE		
Other		
Weighted average (merging firms)		
Weighted average (all firms)		

Source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 10-16, Table 10-17. 65005.001.022.0044.

Home: ACCC results

Table 16: Merger simulation results for home and contents insurance

Model	Elasticity	Gross margins	RACI price effect	IAG price effect	Other insurers price effect	Weight. avg. parties	Weight. avg. market
Linear	-0.1	CEG	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
		ACCC					
	-0.5	CEG					
		ACCC					
	-1.34	ACCC					
	-0.1	CEG					
AIDS							

	ACCC
	CEG
-0.5	ACCC
-1.34	ACCC

Gross margins are based on gross premiums. Diversion ratios source: IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, Table 9-4. 65005.001.022.0044.

Home: ACCC results sensitivity analysis to market-wide elasticity

Table 17: Home – merger simulation price effects for market elasticity -0.5

Sector	Home				Home			
Gross margins	CEG gross premium margins				ACCC gross premium margins			
Diversion ratios	CBAiQ data 2024-25				CBAiQ data 2024-25			
Elasticity	-0.5				-0.5			
Demand model	Linear	CES	AIDS	Log-Linear	Linear	CES	AIDS	Log-Linear
RACI	[Confidential - Redacted]							
IAG								
Suncorp								
Allianz								
Auto & General								
Hollard								
Youi								
QBE								
Other								
Weighted average (merging firms)								
Weighted average (all firms)								

Table 18: Home – merger simulation price effects for market elasticity -0.2

Sector	Home				Home			
Gross margins	CEG gross premium margins				ACCC gross premium margins			
Diversion ratios	CBAiQ data 2024-25				CBAiQ data 2024-25			
Elasticity	-0.2				-0.2			
Demand model	Linear	CES	AIDS	Log-Linear	Linear	CES	AIDS	Log-Linear
RACI	[Confidential - Redacted]							
IAG								
Suncorp								
Allianz								
Auto & General								
Hollard								
Youi								
QBE								

Other
**Weighted
average
(merging firms)**
**Weighted
average
(all firms)**

A.4. Elasticities literature review

Table 19: Summary of literature review on motor and home insurance elasticities

Paper and author	Elasticity estimation method	Elasticity estimate
Home		
Optimal flood insurance in a second-best world: fiscal spillovers, reclassification risk and moral hazard <i>Gruber & Solomon 2026</i>	Estimated elasticity represents the change in renewal probability with respect to a percentage change in renewal price for flood insurance under the National Flood Insurance Program (NFIP). Panel dataset of policies for each year following the move to stop subsidising the program.	-0.32
Homeowners' responses to the new price of flood insurance <i>Lee 2024</i>	Uses a difference-in-differences method to estimate take up rates following a pricing change in the NFIP. The estimate is then used (along with changes in premium pricing data) to estimate elasticity.	-0.19
Analysis of demand for home and contents insurance <i>Tooth 2015</i>	Uses Household Expenditure Survey and state taxes on insurance (as a proxy for price) to estimate demand elasticity for both home and contents insurance.	-0.06
Adaptation and Adverse Selection in Markets for Natural Disaster Insurance <i>Wagner 2021</i>	Estimates NFIP participation and demand for the NFIP following a policy change that increased prices for some homes in 2013. Uses administrative data on NFIP policies, claims and residential houses.	-0.25
Mismeasuring Risk: The Welfare Effects of Flood Risk Information <i>Mulder 2022</i>	Estimates price elasticity as it is a required input into estimating welfare effects. Uses a differentiation in NFIP premium price from homes being reclassified into being located on a floodplain to model the probability of renewal.	-0.17
Motor		
Pay-As-You-Go Insurance: Experimental Evidence on Consumer Demand and Behavior <i>Kluender 2022</i>	RCT that trialled pay as you go insurance for uninsured drivers. The treatment group could pause their contract on non-driving days. Control group were offered 3-month contracts. Estimated elasticity by randomly shifting the daily insurance premium conditional on the risk premium.	0.63 (combined treatment and control groups) 0.72 (treatment group)
A causal inference approach to measure price elasticity in Automobile Insurance	Uses propensity score matching to estimate lapse elasticity (for insurance renewal). Customers were sorted into treatment groups depending on the change in price of their renewal compared to their	0.256 (lapse elasticity calculated by ACCC, see Table 20 for details)

<i>Guelman and Guillen 2014</i>	existing policy. Data contained 329,000 policies from a Canadian insurer between 2010-2012.	
The causes and consequences of rate regulation in the auto insurance industry	Uses cross sectional data in California to estimate the elasticity of insurance premiums and total registered vehicles. Estimates were used to assess welfare effects of regulatory changes that reduce insurance premium.	-0.51
<i>Jaffee & Russell 1998</i>		

Table 20: Motor insurance Lapse Elasticity calculations based on Table 1 in Guelman and Guillen (2014)

Rate change level	Rate change (%)	N Obs.	Lapse rate (%)	Rate change midpoint (%)	Elasticity (lapse rate residual / rate change) **	Weights (based on N)	Weighted elasticity
1	-20 to 0	63,212	3.03	-10	control		
2	0 to 5	44,609	3.45	2.5	0.168	0.267	0.045
3	5 to 10	40,455	4.44	7.5	0.188	0.242	0.045
4	10 to 20	51,283	7.77	15	0.316	0.307	0.097
5	20 to 40	30,948	14.22	30	0.373	0.185	0.069
Lapse Elasticity estimate:							0.256

** Lapse rate residual = lapse rate – lapse rate (rate change level 1). Rate change midpoint was used for the rate change value. For example, to calculate elasticity for rate change level 2, lapse rate residual = 3.45 – 3.03 = 0.42%, and rate change midpoint = 2.5%. Therefore, 0.42% / 2.5% = 0.168.